# Bogen.ai Partnership Framework — Joint Client Engagements

**Between:** Edmund Bogen and Eytan Benzeno **Date:** May 18, 2026 **Status:** Proposed standing framework; addendum to the Bogen.ai operating agreement **Inaugural application:** Lucky in Love engagement (Phase 1 + Phase 2)

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## 1. Purpose

This memo establishes a **standing compensation and role framework** for any Bogen.ai client engagement we execute together. The intent is to set the tone now — not deal-by-deal — so that future joint work proceeds on a known, fair, repeatable basis.

We need a shared model for two reasons:

1. We're scaling Bogen.ai. The next 10 engagements need to feel the same as the first.
2. When work is technical-heavy (you executing), the math has to be fair to you. When work is strategic/relationship-heavy (me carrying the client), the math has to recognize that. A clear framework handles both without negotiation each time.

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## 2. Scope — What's In, What's Out

### In Scope (this framework applies)

- Any **paid Bogen.ai client engagement** where both of us contribute time and the work is delivered jointly
- Phase 1 assessments, Phase 2 sprints, ongoing retainers
- AI engineering, integration, dashboards, workflow builds, custom Claude Projects
- Joint workshops or training sessions delivered under the Bogen.ai brand

### Out of Scope (this framework does NOT apply)

- **Edmund's speaking engagements** — keynotes, talks, paid speaking gigs are billed at Edmund's speaker rate; Eytan is not compensated unless he is brought in as a co-presenter under a separately agreed arrangement.
- **Edmund's Mastermind** — coaching program revenue is Edmund's primary business and is governed by a separate compensation model.
- **Real estate transactions** — The Edmund Bogen Team at Douglas Elliman operates entirely outside Bogen.ai.
- **Eytan's independent client work** — Any client Eytan originates and executes solo without Bogen.ai branding is his own.
- **Internal Bogen.ai tooling** (Sphere, automation builds, etc.) — Governed by the operating agreement's product / equity terms, not this engagement framework.

If a piece of work is ambiguous (e.g., a coaching client wants AI implementation help), we agree the model **before** quoting the client. Default: this framework applies if Eytan is materially involved in delivery.

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## 3. Roles on Joint Engagements

| Function | Default Owner |
|---|---|
| Client origination, sales, contracting | Edmund |
| Strategy, scope definition, client accountability | Edmund (lead) + Eytan (technical input) |
| Technical execution — AI engineering, integration, builds | **Eytan (primary)** |
| Dashboards, agent builds, data pipelines, custom models | **Eytan (primary)** |
| Team training, documentation, handoff materials | Co-led |
| QA, delivery sign-off, client communication | Edmund |
| Post-engagement support / retainer execution | Split by domain |

These are defaults. Specific engagements may override roles by mutual written agreement before kickoff.

## 4. Hourly Base Rates

Each of us tracks time honestly against the engagement. These rates set the **cash floor** — they protect the heavy-execution partner from doing the build for a deferred payday.

| Role | Hourly Rate |
|---|---|
| Edmund — Strategy, client management, delivery oversight | $250 / hr |
| Eytan — AI engineering, integration, technical execution | $200 / hr |

Time tracking is **internal only** — it is never billed to the client. The client pays a fixed engagement fee. Time tracking exists to compute our internal split fairly.

Rates may be revisited annually by mutual written agreement.

## 5. Cash Flow Mechanics

### 5a. Bogen.ai Operating Reserve — 20% Off the Top

**Before any partner distribution**, 20% of every milestone payment received from the client is allocated to the **Bogen.ai LLC operating reserve**, held in the LLC's bank account.

This reserve funds:

- Software, hosting, and infrastructure (Anthropic API, Vercel, Supabase, Notion, email platform, domains)
- Legal, accounting, and tax-prep fees
- Insurance (E&O, GL, cyber liability)
- Stripe / payment processing fees

- Marketing, website, and brand development
- Cash buffer (1–2 months of fixed operating costs)

**Reserve rules:**

- Funds are **locked in the LLC bank account** and may only be released against documented LLC business expenses.
- The reserve is **not distributable** as compensation. It is LLC working capital.
- The reserve does **not** cover either partner's personal income tax or self-employment tax. Each partner handles their own tax obligations out of their distributions.
- The 20% rate may be reviewed annually by mutual written agreement based on actual operating run-rate.

### 5b. Distributable Pool

After the 20% operating reserve is taken, the remaining **80% is the Distributable Pool** for that milestone — the cash available to compensate both partners.

### 5c. Hourly Draw Cap — 70% of Distributable Pool

Each of us draws against tracked hours at the rates above, **subject to a hard cap of 70% of the Distributable Pool** at that milestone.

If logged hours × rate exceeds the 70% cap, hourly draws are scaled pro-rata to the cap, and unclaimed hours roll forward to the next milestone (or are settled per Section 5f at engagement close).

The 70% cap exists to preserve a meaningful residual pool while still protecting whoever is doing the heavy hours.

### 5d. Residual Pool

The remaining cash in the Distributable Pool after hourly draws — minimum 30% of the Distributable Pool — is the **residual pool**, representing the engagement's profit margin after compensating both partners for time worked.

### 5e. Residual Split: 70 / 30

The residual pool is distributed at each milestone as follows:

- **70% — Edmund** (client origination, brand, sales, strategy, delivery oversight, client accountability, contract risk)
- **30% — Eytan** (technical execution premium, IP contribution to Bogen.ai's generalizable frameworks)

This split reflects that Edmund originates and owns the client relationship, while Eytan's execution work is already compensated at $200/hr through the hourly draw. The 30% residual to Eytan rewards him for the IP and reusability of frameworks he builds.

No deferred payouts, no year-end true-up. Each milestone is settled cleanly.

### 5f. End-of-Engagement Unclaimed Hours

If the 70% cap was triggered during the engagement and either partner has hours that rolled forward but were never paid (because no more milestones remain), those unclaimed hours are settled at engagement close as follows:

1. The final milestone's residual pool first goes toward paying down unclaimed hours, pro-rata between partners.
2. If unclaimed hours exceed available residual, the residual is distributed pro-rata to each partner's unclaimed-hour share. No partner pays in; unclaimed hours beyond available residual expire at engagement close.
3. Whatever residual remains after unclaimed hours are settled splits 70/30 per Section 5e.

This rule protects the heavy-execution partner on under-priced engagements while keeping the framework cash-flow-positive for both sides.

## 6. Worked Example

**Engagement:** $100,000 fixed fee (single milestone for simplicity) **Hours logged across engagement:**

- Eytan: 100 hrs × $200 = $20,000
- Edmund: 20 hrs × $250 = $5,000

**Step 1 — Bogen.ai Operating Reserve (20%):**

- 100, 000 × 2020,000 to LLC operating account (locked)**

**Step 2 — Distributable Pool:**

- $100,000 – 20, 000 = **80,000**

**Step 3 — Hourly Draw Cap Check (70% of $80,000 = $56,000):**

- Total logged hours value: $25,000 → well under cap, both partners paid in full
- Eytan hourly: $20,000
- Edmund hourly: $5,000

**Step 4 — Residual Pool:**

- $80,000 – 25, 000 = **55,000**

**Step 5 — Residual Split (70 / 30):**

- Edmund 70% = $38,500
- Eytan 30% = $16,500

### Final Distribution

| | Hourly | Residual | Total |
|---|---|---|---|
| **Eytan** | $20,000 | $16,500 | **$36,500** (effective $365/hr) |
| **Edmund** | $5,000 | $38,500 | **$43,500** |
| **Bogen.ai LLC reserve** | — | — | **$20,000** |
| **Total** | $25,000 | $55,000 | **$100,000** ✓ |

### Heavy-Execution Stress Test (Same $100K engagement)

If Eytan logged 400 hrs and Edmund logged 100 hrs (under-priced engagement, heavy build):

- LLC reserve (20%): $20,000
- Distributable pool: $80,000
- 70% cap: $56,000
- Logged hours value: Eytan $80,000 + Edmund $25,000 = $105,000
- Cap triggers pro-rata: Eytan $42,667 / Edmund $13,333 hourly
- Unclaimed hours: $48,667
- Residual pool: $24,000 (all consumed by unclaimed hours per Section 5f)

- Residual split: $0 (none remaining for 70/30 dividend)

**Result: Eytan $61,055 / Edmund $18,945 / LLC $20,000.**

Even at extreme execution loads, the framework keeps cash flowing to the heavy-execution partner. The LLC reserve stays untouched. Edmund's take drops to reflect the under-pricing — a useful signal that the next engagement should be priced higher.

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## 7. Performance Bonuses & Retainers

### Performance bonuses (e.g., outcome-tied bonus capped at $25K)

- Treated as **all residual** — no hourly draw associated.
- Split 70/30 (Edmund / Eytan).

### Ongoing retainers (e.g., 8*K*–12K / month, post-engagement)

- Same framework: time tracked, 70% hourly draw cap, 30% residual minimum, 70/30 split on residual.
- Renewable monthly; either partner can flag if scope-of-work / hours are out of balance.

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## 8. IP & Ownership

Consistent with the client-facing terms we offer:

- **Customer-specific data** (client lists, purchase history, account-level data) is treated as client confidential and deleted on engagement completion unless the client agreement specifies otherwise.
- **Generalizable Bogen.ai frameworks** built during any engagement (account brief generators, demand forecasting models, recommendation engines, agent frameworks, etc.) are **Bogen.ai IP**, jointly owned by us per the existing operating agreement.
- We retain perpetual reuse rights for all generalizable frameworks across future engagements, even when licensed to a specific client.

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## 9. Case Study & Public Reference

When clients grant case study rights:

- Edmund references on speaking platforms, Mastermind, Bogen.ai marketing, podcasts.
- Eytan references in his personal portfolio, LinkedIn, technical content, conferences.
- Neither party releases specific client metrics or names without the client's written approval and notice to the other partner.

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## 10. Out-of-Scope Work — Clean Separation

To keep this framework clean, the following continue to operate independently:

- **Edmund's speaker fees** are billed and retained by Edmund. If a speaking gig surfaces Bogen.ai consulting work, that downstream engagement enters this framework normally.

- **Edmund's Mastermind revenue** is governed by Edmund's existing entities (Dave T Productions / Edmund Bogen Mastermind).
- **Real estate commissions** at Douglas Elliman are separate from Bogen.ai entirely.
- **Eytan's independent technical work** outside Bogen.ai branding is his own.

If any of these adjacent verticals starts generating Bogen.ai-style consulting work, we draft an amendment to this framework before quoting the client — not after.

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## 11. Conflict Resolution

If a dispute arises on hours logged, scope, role, or split:

1. First conversation between the two of us within 7 days.
2. If unresolved, written summary of the disagreement and proposed resolution from each party within 14 days.
3. If still unresolved, mediation before any escalation to operating-agreement remedies.

Default principle: **err toward partner fairness, not enforcement.** A long partnership is worth more than any single milestone payment.

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## 12. What I'm Asking

If this framework works for you:

1. **Reply with your sign-off** (or any redlines) before the Lucky in Love Phase 1 signature.
2. We convert this memo into a written addendum to the Bogen.ai operating agreement.
3. We start time tracking from the LIL Phase 1 kickoff so the first milestone math is clean from day one.

If anything here needs adjustment — hourly rate, 70% cap, residual split, scope carve-outs — flag it now. We get this right once, then run it on every engagement after.

— Edmund

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*This framework reflects a proposed standing partnership structure between Edmund Bogen and Eytan Benzeno for joint Bogen.ai client engagements. It is intended to become a written addendum to the Bogen.ai operating agreement. It is not a binding legal contract until countersigned by both parties.*